



Cost Accounting and Budget: Cost Accounting Adjustment

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Cost Accounting Adjustment topic.

Objectives



At the end of this topic, you will be able to:

- Reallocate costs between cost centers

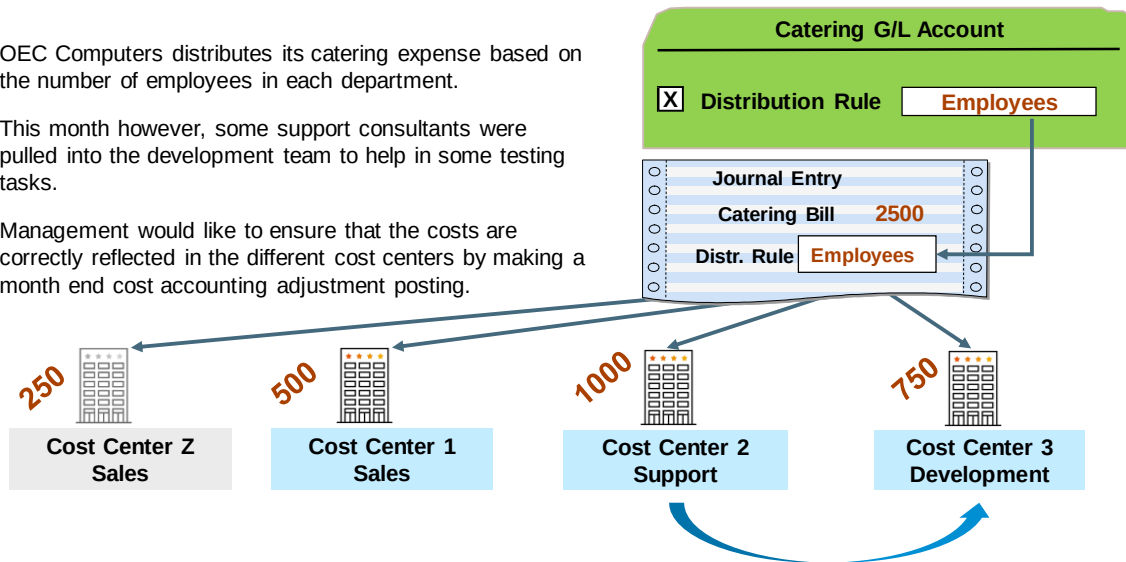
- In this topic, we will look at how to reallocate costs between cost centers.

Cost Accounting Adjustment – Business Example

OEC Computers distributes its catering expense based on the number of employees in each department.

This month however, some support consultants were pulled into the development team to help in some testing tasks.

Management would like to ensure that the costs are correctly reflected in the different cost centers by making a month end cost accounting adjustment posting.



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OEC Computers distributes its catering expense based on the number of employees in each department.

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Journal Entry for Cost Accounting Adjustment

Access the *Journal Entry for Cost Accounting Adjustment* window via:

- SAP Business One look up menu.
- Cost Accounting Adjustment button in:
 - Distribution Report
 - Distribution Rules window
 - Table of Cost Centers and Distribution Rules window.
- Journal Voucher - add a cost accounting adjustment entry.

In all of these options a dedicated journal entry with a default numbering series for cost accounting adjustment will be posted.

Use the Journal Entry for Cost Accounting Adjustment window to issue cost accounting adjustment postings. This function can be accessed via:

- SAP Business One look up menu.
- The Cost Accounting Adjustment button that opens the Journal Entry for Cost Accounting Adjustment window is available in:
 - The Distribution Report.
 - Also, in the Distribution Rules window and in the Table of Cost Centers and Distribution Rules window.
- If the cost accounting adjustment needs to be reviewed before submitted it, add a cost accounting adjustment entry to a new journal voucher.

In all of these options a dedicated journal entry with a default numbering series for cost accounting adjustment will be posted.

Cost Accounting Adjustment via Reports

Distribution Report

		Cost Centers			
Distribution Rule	Total costs	Center z	Sales	Support	Development
Sales	400		400		
Support	520			520	
Development	950				950
Area	12000		2400	4800	4800
No. of employees	2500	250	500	1000	750
Total	16370	250	3300	6320	6500



Cost Accounting
Adjustment

Let's look at the Distribution Report option. After issuing the report, highlight the distribution rule row for which you would like to issue an adjustment posting, **Development** in our example. Then, choose the Cost Accounting Adjustment button at the bottom of the screen.

Journal Entry for Cost Accounting Adjustment

Journal Entry for Cost Accounting Adjustment

G/L Account	Debit	Credit	Distribution rule
Cost Accounting Adjustment Account	200		Development*
Cost Accounting Adjustment Account		200	Support*

* Direct allocation distribution rule

- Dedicated journal entry for cost accounting adjustment with:
 - Default numbering series.
 - Default G/L account.
- In each row, choose the direct allocation distribution rule of each cost center.

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The Journal Entry for Cost Accounting Adjustment window appears. This is a dedicated journal entry with a default numbering series for cost accounting adjustments.

In the first row of the journal entry the default account for cost accounting adjustment appears. This is an interim account defined as Cost Accounting Adjustment Only in the G/L Account Details window.

You transfer amounts between cost centers by choosing the direct allocation distribution rule of each cost center in the journal entry rows.

When posting the adjustment journal entry from a report like in our example, the first journal entry row automatically includes the distribution rule you chose in the report, **Development** direct allocation distribution rule in this example.

Enter the amount to be transferred. In our example, you decrease the expense amount from the support team cost center and increase the development cost center amount.

In the second row, choose the default account again and the **Support** direct allocation distribution rule .

Settings for Cost Accounting Adjustment

- Define a default journal entry series for cost accounting adjustments.

Series- Journal Entries - Setup												
#	Name	Number			String		Remarks	Group	Period Ind.	Lock	Cost Accounting Adjustment Only	
		First No.	Next No.	Last No.	Prefix	Suffix						
1	Primary 	1	6524				1	▼ Default ▼	☐	☐		
2	CostAcc	99999	99999				1	▼ Default ▼	☐	☒		

Check the Cost Accounting Adjustment Only box.

To allow cost accounting adjustment postings you should define a default journal entry series.

In the Document Numbering – Setup window, double click the Journal Entries row and define a new series. Check the Cost Accounting Adjustment Only box for this new series.

Settings for Cost Accounting Adjustment

- Create a default G/L account.

G/L Account Details

G/L Account: 980099
Account Name: Cost Accounting Adjustment
Foreign Name:
Code for Exporting:
Default VAT Group:
Category:
Planning Level:

☐ Account Balance Allowed From: To:
☒ Cost Accounting Adjustment Only
☐ Allow Multiple Linking to Financial Templates
☐ Relevant to Budget
☒ Permit Other VAT Group
Update Cancel

In the Account Details, check the Cost Accounting Adjustment Only box.

Also, create a default G/L account in the chart of accounts – choose the Account Details button and check the Cost Accounting Adjustment Only box.

Settings for Cost Accounting Adjustment

- Link the default series and G/L account to the General Settings.

The screenshot shows the 'General Settings' window with the 'Cost Accounting' tab selected. The 'Cost Accounting Adjustment Settings' section is highlighted with a yellow box. It contains the following fields:

- Default Series:** A dropdown menu with 'CostAcc' selected.
- Default G/L Account:** A dropdown menu with '99999' selected.
- Cost Accounting Adjustment:** A checkbox that is checked.

Other visible settings include 'Use Multidimensions' (checked), 'Display Distribution Rules' (radio buttons for 'In a Unified Column' and 'In Separate Columns'), and 'Specify how to post journal entry line without a distribution rule or project when G/L account is set up for cost accounting' (Distribution Rule: 'Without Warning', Project Code: 'Without Warning').

Both the default series and the G/L account will be used in cost accounting adjustments journal entries only.

Then link the default series and G/L account you have defined to the General Settings window - Cost Accounting tab, under the Cost Accounting Adjustment Settings section.
Both the default series and the G/L account will be used in cost accounting adjustments journal entries only.

Summary



- Cost accounting adjustments allow you to reallocate costs between cost centers when required. This ensures that the costs are correctly reflected in the different cost centers.
- Issue a cost accounting adjustment transaction using the Journal Entry for Cost Accounting Adjustment window.
- This dedicated journal entry uses a default numbering series and a default account for cost accounting adjustments.
- Use this interim account in both journal entry's rows.
- Choose the direct allocation distribution rule of each cost center to transfer amounts between cost centers.
- Settings for Cost Accounting Adjustment:
 - Define a default journal entry series for cost accounting adjustments.
 - Create a default G/L account.
 - Link the default series and G/L account to the General Settings.

Here are some key points:

- Cost accounting adjustments allow you to reallocate costs between cost centers when required. This ensures that the costs are correctly reflected in the different cost centers.
- Issue a cost accounting adjustment transaction using the Journal Entry for Cost Accounting Adjustment window.
- This dedicated journal entry uses a default numbering series and a default account for cost accounting adjustments.
- Use this interim account in both journal entry's rows.
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